

Montier had similar finding in his research into the performance of the Magic Formula and its constituent parts in Europe (excluding the United Kingdom), the United Kingdom, and Japan, shown in Table 4.2.¹⁶ The *earnings yield* alone outperformed the Magic Formula in each market but Japan. In Europe, the *earnings yield* generated a compound annual return of 22.2 percent (versus 22 percent for the Magic Formula), in the UK the *earnings yield* returned 22.6 percent (versus the Magic Formula's 17 percent), and in Japan the *earnings yield* generated an average annual return of 14.5 percent (versus 18.1 percent for the Magic Formula), but it did so at considerably reduced volatility relative to the Magic Formula. In the UK the *earnings yield* delivered very sizeable gains over the Magic Formula. In Europe *return on capital* contributed little. The *earnings yield* slightly outperformed the Magic Formula, but did so at a slightly elevated volatility. In Japan, the *return on capital* measure improved returns, but did so at higher volatility. Montier concluded that *earnings yield* alone is "very powerful," and bore out his belief as a value investor that "buying bad companies at very low prices is also a perfectly viable strategy, provided, of course, they don't go bankrupt."¹⁷

Again, the evidence is compelling that the Magic Formula outperforms the market, but not because it identifies wonderful companies at fair prices. Wonderful companies, defined in this context as ones earning a high return on capital, reduce returns. The data suggest that the better bet is fair companies at wonderful prices. The *why* of it reveals two truths about value

TABLE 4.2 Summary Performance Statistics for Magic Formula (Equal Weight), Earnings Yield, Return on Capital, and Market in the US, Europe, the UK, and Japan (1993 to 2005)

	Magic Formula	Earnings Yield	Market
CAGR			
United States (%)	17.1	19.7	13.5
Europe (ex. UK) (%)	22.0	22.2	13.3
United Kingdom (%)	17.0	22.6	9.7
Japan (%)	18.1	14.5	7.3
Standard Deviation (Relative to Market)			
United States	0.92	0.66	—
Europe (ex. UK)	0.95	1.12	—
United Kingdom	0.91	0.78	—
Japan	0.87	0.70	—

Data Source: James Montier. "The Little Note that Beats the Market." *DrKW Macro Research*, March 9, 2006.